2021 Annual Report

PayPal

PayPal Holdings, Inc.

Consolidated Statements of Stockholders' Equity

	Common Stock Shares	Treasury Stock	Additional Paid-In Capital	Accumulated Other Comprehensive Income (Loss)	Retained Earnings	Noncontrolling Interest	Total Equity
				(In millions)			
BALANCES AT DECEMBER 31, 2018	**1,174**	**$ (5,511)**	**$14,939**	**$ 78**	**$ 5,880**	**$ —**	**$ 15,386**
Adoption of lease accounting standard	—	—	—	—	3	—	3
Net income	—	—	—	—	2,459	—	2,459
Foreign CTA	—	—	—	(57)	—	—	(57)
Net investment hedge CTA loss	—	—	—	(31)	—	—	(31)
Unrealized losses on cash flow hedges, net	—	—	—	(176)	—	—	(176)
Tax benefit on unrealized losses on cash flow hedges, net	—	—	—	3	—	—	3
Unrealized gains on investments, net	—	—	—	15	—	—	15
Tax expense on unrealized gains on investments, net	—	—	—	(5)	—	—	(5)
Common stock and stock-based awards issued and assumed, net of shares withheld for employee taxes	13	—	(365)	—	—	—	(365)
Common stock repurchased	(14)	(1,361)	(45)	—	—	—	(1,406)
Stock-based compensation	—	—	1,059	—	—	—	1,059
Purchase of noncontrolling interest	—	—	—	—	—	44	44
BALANCES AT DECEMBER 31, 2019	**1,173**	**$ (6,872)**	**$ 15,588**	**$ (173)**	**$ 8,342**	**$ 44**	**$ 16,929**
Adoption of current expected credit loss standard	—	—	—	—	(178)	—	(178)
Net income	—	—	—	—	4,202	—	4,202
Foreign CTA	—	—	—	(48)	—	—	(48)
Net investment hedge CTA gain				55			55
Unrealized losses on cash flow hedges, net	—	—	—	(329)	—	—	(329)
Tax benefit on unrealized losses on cash flow hedges, net	—	—	—	4	—	—	4
Unrealized gains on investments, net	—	—	—	9	—	—	9
Tax expense on unrealized gains on investments, net	—	—	—	(2)	—	—	(2)
Common stock and stock-based awards issued and assumed, net of shares withheld for employee taxes	11	—	(365)	—	—	—	(365)
Common stock repurchased	(12)	(1,635)	—	—	—	—	(1,635)
Stock-based compensation	—	—	1,421	—	—	—	1,421
BALANCES AT DECEMBER 31, 2020	**1,172**	**$ (8,507)**	**$16,644**	**$ (484)**	**$12,366**	**$ 44**	**$20,063**
Net income	—	—	—	—	4,169	—	4,169
Foreign CTA	—	—	—	(72)	—	—	(72)
Unrealized gains on cash flow hedges, net	—	—	—	522	—	—	522
Tax expense on unrealized gains on cash flow hedges, net	—	—	—	(26)	—	—	(26)
Unrealized losses on investments, net	—	—	—	(98)	—	—	(98)
Tax benefit on unrealized losses on investments, net	—	—	—	22	—	—	22
Common stock and stock-based awards issued and assumed, net of shares withheld for employee taxes	11	—	(881)	—	—	—	(881)
Common stock repurchased	(15)	(3,373)	—	—	—	—	(3,373)
Stock-based compensation	—	—	1,445	—	—	—	1,445
Change in noncontrolling interest	—	—	—	—	—	(44)	(44)
BALANCES AT DECEMBER 31, 2021	**1,168**	**$(11,880)**	**$17,208**	**$ (136)**	**$16,535**	**$ —**	**$ 21,727**

The accompanying notes are an integral part of these consolidated financial statements.

PayPal Holdings, Inc.

Consolidated Statements of Cash Flows

	Year Ended December 31,		
	2021	2020	2019
	(In millions)		
Cash flows from operating activities:			
Net income	$ 4,169	$ 4,202	$ 2,459
Adjustments to reconcile net income to net cash provided by operating activities:			
Transaction and credit losses	1,060	1,741	1,380
Depreciation and amortization	1,265	1,189	912
Stock-based compensation	1,376	1,376	1,021
Deferred income taxes	(482)	165	(269)
Net gains on strategic investments	(46)	(1,914)	(208)
Other	100	47	(149)
Changes in assets and liabilities:			
Accounts receivable	(222)	(100)	(120)
Changes in loans and interest receivable held for sale, net	—	—	4
Transaction loss allowance for cash losses, net	(1,178)	(1,120)	(1,079)
Other current assets and non-current assets	(150)	(498)	(566)
Accounts payable	(31)	(4)	4
Income taxes payable	73	(230)	(40)
Other current liabilities and non-current liabilities	406	1,000	722
Net cash provided by operating activities	6,340	5,854	4,071
Cash flows from investing activities:			
Purchases of property and equipment	(908)	(866)	(704)
Proceeds from sales of property and equipment	5	120	17
Changes in principal loans receivable, net	(1,594)	294	(1,631)
Purchases of investments	(40,116)	(41,513)	(27,881)
Maturities and sales of investments	39,698	30,908	24,878
Acquisitions, net of cash and restricted cash acquired	(2,763)	(3,609)	(70)
Funds receivable	193	(1,552)	(351)
Net cash used in investing activities	(5,485)	(16,218)	(5,742)
Cash flows from financing activities:			
Proceeds from issuance of common stock	162	137	138
Purchases of treasury stock	(3,373)	(1,635)	(1,411)
Tax withholdings related to net share settlements of equity awards	(1,036)	(521)	(504)
Borrowings under financing arrangements	272	6,966	5,471
Repayments under financing arrangements	(361)	(3,000)	(2,516)
Funds payable and amounts due to customers	3,572	10,597	3,009
Other financing activities	—	(52)	—
Net cash (used in) provided by financing activities	(764)	12,492	4,187
Effect of exchange rate changes on cash, cash equivalents, and restricted cash	(102)	169	(6)
Net change in cash, cash equivalents, and restricted cash	(11)	2,297	2,510
Cash, cash equivalents, and restricted cash at beginning of period	18,040	15,743	13,233
CASH, CASH EQUIVALENTS, AND RESTRICTED CASH AT END OF PERIOD	**$ 18,029**	**$ 18,040**	**$ 15,743**

STOCK OPTION ACTIVITY

The following table summarizes stock option activity of our employees under the Plan for the year ended December 31, 2021:

	Shares	Weighted Average Exercise Price	Weighted Average Remaining Contractual Term (Years)	Aggregate Intrinsic Value
	(In thousands, except per share amounts and years)			
Outstanding at January 1, 2021	591	$ 14.37		
Assumed	86	$ 18.70		
Exercised	(329)	$ 12.46		
Forfeited/expired/canceled	(9)	$ 5.65		
Outstanding at December 31, 2021	339	$ 17.55	4.58	$ 58,496
Expected to vest	89	$ 12.76	7.34	$ 15,769
Options exercisable	242	$ 19.31	3.46	$ 41,372